IN THE NATIONAL COMPANY LAW TRIBUNAL, AHMEDABAD
COURT - 2

ITEM No.306

CP(CAA)/54(AHM)2022
in
CA(CAA)/80(AHM)2021

Order under Sections 230-232 of Co. Act, 2013

IN THE MATTER OF:

Dholka Plywood Industries Pvt Ltd **.....Applicant**

Order delivered on 20/07/2023

Coram:

Mr. Shammi Khan, Hon'ble Member(J)
Mr. Ajai Das Mehrotra, Hon'ble Member(T)

ORDER

The case is fixed for pronouncement of order.

The order is pronounced in open Court vide separate sheet.

-SD-

AJAI DAS MEHROTRA
MEMBER (TECHNICAL)

-SD-

SHAMMI KHAN
MEMBER (JUDICIAL)

NATIONAL COMPANY LAW TRIBUNAL
AHMEDABAD BENCH
(COURT NO. II)

CP (CAA) 54/AHM/2022
IN
CA (CAA) 80/AHM/2021

[Sections 230-232 of the Companies Act, 2013 along with other relevant provisions of the Companies Act, 2013 read with Companies (Compromises, Arrangements, and Amalgamation) Rules, 2016]

In the Matter of Scheme of Arrangement

OF

PRIME HOLDINGS PRIVATE LIMITED
(Demerged Company)
(Within the jurisdiction of NCLT Guwahati Bench)

AND

DHOLKA PLYWOOD INDUSTRIES PRIVATE LIMITED
(Petitioner Company/ Resulting Company)

AND

Their Respective Shareholders and Creditors

Order Pronounced on: 20/07/2023

Coram:
SHAMMI KHAN,
HON'BLE MEMBER (JUDICIAL)
AJAI DAS MEHROTRA,
HON'BLE MEMBER (TECHNICAL)

MEMO OF PARTIES

In the matter of:
PRIME HOLDINGS PRIVATE LIMITED
(CIN: U70101AS1994PTC004092)
Registered office at;
Makum Road, Tinsukia, Assam-786125.

…Demerged Company

AND

DHOLKA PLYWOOD INDUSTRIES PVT. LTD.
(CIN: U20211GJ2000PTC037542)
Registered office at;
206, Silver Oaks Building Nr. Mahalaxmi Cross Road
Paldi, Ahmedabad- 380007.

… Petitioner Company /
Resulting Company

For the Petitioners	**:**	Mr. Subodh Kumar Agarwal, PCA
For the Income Tax Department:		Ms. Pankti Shah, Advocate for Ms. Maithili Mehta, Advocate
For the RD:		Mr. Shiv Pal Singh, Assistant Director

O R D E R

1. The present application is filed under Section 230-232 along with other relevant provisions of the Companies Act, 2013 (hereinafter referred to as "the Act"), and read with the Companies (Compromise, Arrangement, and Amalgamations) Rules, 2016, for sanctioning the Scheme of Arrangement (hereinafter called the "Scheme") of Prime Holdings Private Limited (hereinafter referred as 'Demerged Company' or 'PHPL') and Dholka

Plywood Industries Private Limited (hereinafter referred as 'Resulting Company' or 'DPIPL') and their respective Shareholders and Creditors, for demerger of Finance Business Undertaking ("Demerged Undertaking") of the Demerged Company into the Resulting Company, whereby and where under the Demerged Undertaking of the Demerged Company together with all the properties, assets and liabilities relating thereto is proposed to be transferred as Going Concern and vested in the Resulting Company, on the terms and conditions with effect from the Appointed Date on the agreed terms and conditions as set out in the Scheme annexed in accordance with Sections 230 to 232 of the Companies Act, 2013.

2. From the records, it is seen that first motion application seeking directions for dispensation of all the meetings of the equity shareholders, secured and unsecured creditors, if any, of the Petitioner Company was allowed vide order dated 06.06.2022 with directions to issue notices to concerned Statutory and Regulatory Authorities. The Petitioner Company filed an affidavit of service of notice to the concerned Statutory and/or Regulatory Authorities.

3. The 2nd motion petition was filed on 22.08.2022. The petition was listed on 25.08.2022. On request of the Ld. Senior Counsel Mr. Saurabh Soparkar, delay of filing of 2nd motion petition was condoned by the Bench vide order dated 25.08.2022 & it is also recorded in the said order that Ld. Sr. Counsel Mr. Soparkar stated that there are no foreign investors in the

Petitioner Companies, Petitioner Companies are not listed and threshold required for reporting to the Competition Commission of India (CCI) is not applicable, hence, no notice be issued to RBI, SEBI and CCI. Further, vide order dated 25.08.2022, the second motion petition was admitted with directions for publication of notice of hearing to be advertised in "Financial Express" in English and Gujarati (Ahmedabad Edition) not less than 10 days before the date fixed for hearing, calling for objections, if any, on or before the date of hearing. This Tribunal also directed to issue notice to the Regional Director, Registrar of Companies and the Income Tax Department informing the date of hearing, i.e. 06.10.2022.

4. The Regional Director, North Western Region, MCA has filed a report on 14.09.2022 for the Resulting Company along with the report of RoC, Ahmedabad, with the following observations:

   i) The Petitioner Companies to undertake the compliance of Section 2 (19AA) of the Income Tax Act in the matter, since this is a Scheme of Demerger.

   ii) The Resulting Company to submit the present status of Application/ Petition filed before the Hon'ble NCLT, Guwahati Bench, Assam in respect of Demerged Company.

   iii) The Petitioner Company to undertake transfer of all employees pertaining to Demerged Undertaking of demerged company to Resulting Company with the same terms and conditions of service

which shall not be less favorable than the present benefits available to them.

iv) The Petitioner Company to comply with the provision of Section 61 of the Companies Act, 2013 and also to the Payment of Stamp Duty, registration fees etc. and to file the relevant e-form with respective Registrar of Companies.

v) The Resulting Company has not filed application in prescribed E-Form GNL-1 under the MCA-21 Portal as per the requirement of Section 398 and 232(2)(b) of the Companies Act, 2013 read with Rule 7 of Companies (Registration Office and Fees) Rules, 2014.

vi) The Petitioner Companies to pay such amount of legal fees/ costs to the Central Government which may be considered appropriate by this Hon'ble NCLT.

vii) The Petitioner Company to comply with the provision of Section 73 of the Companies Act r.w. Rule 16 and 16A of the Companies (Acceptance of Deposit) Rules, 2016.

viii) The Petitioner Company to pay necessary stamp duty on transfer of Property/Assets to the respective Authorities before implementation of the Scheme.

5. The Petitioner Company filed a common affidavit in reply on 07.10.2022, to deal with the observations made by the Regional Director and RoC. The submission made in above stated reply is as follows:

i) The Petitioner Company gave undertaking that the scheme complies with the provisions of Section 2(19AA) of the Income-Tax Act, 1961.

ii) The Petitioner Company has updated the status of Scheme of Demerger of the Demerged Undertaking which is filed with Hon'ble NCLT, Guwahati-Bench, Assam.

iii) The Petitioner Company gave undertaking that all the employees, if any, pertaining to Demerged Undertaking of demerged company shall be transferred to the Resulting Company with the same terms and conditions of service which shall not be less than the present benefits available to them.

iv) The Petitioner Company undertakes, once the scheme is approved by this Hon'ble Tribunal, to increase the authorized capital for issue of preference shares to the Shareholders of the Demerged Company and to undertake all the compliances in accordance with the provisions of the Companies Act, 2013 and also to file the necessary forms applicable with the Registrar of Companies. Further, the Petitioner Company agrees for payment of Stamp duty, registration fees etc. as applicable on the effective of scheme of Amalgamation.

v) The Petitioner Company gave undertaking to comply with the provision of Section 73 r.w. Rule 16 and 16A of the Companies (Acceptance of Deposit), Rules 2016

vi) The Petitioner company gave the undertaking to pay legal fees, as per the order.

vii) The resulting company has filed the Form GNL-1 under MCA-21 on 11.08.2022 vide SRN No. F20879581 and has complied with the provisions of Section 398 and Section 232(2)(b) of the Companies Act, 2013. A copy of the same was annexed with the reply.

6. The Petitioner Company has also filed its Audited Financial Statement as of 31.03.2021 and Provisional Statement as of 31.08.2021.

7. The Income Tax Department filed its report on 22.11.2022 for the Resulting Company and submitted that as per the departmental database, no demand exists against the Resulting Company.

8. As recorded in the daily order dated 27th April, 2023, Ms. Pankti Shah, from the Income Tax Department appeared and stated that reply has been filed by the Income Tax Department and that they do not have any objection to the approval of the Scheme. Further, Mr. Liladhar Sharma, Assistant Director, appeared for the Office of Regional Director and stated that they do not have any objection to the approval of the Scheme. It is also stated by the Ld. PCA, Mr. Subodh Kumar Agarwal for the Petitioner Company that the order relating to demerged company has been issued by the NCLT, Guwahati Bench, and he will be filing copy of the said order.

9. In pursuance of order dated 27.04.2023, Ld. PCA for the Petitioner Company filed the copy of the order passed by the NCLT, Guwahati Bench

on 13.04.2023 in CP (CAA) No. 06/GB/2022 in CA (CAA) No. 15/GB/2021.

10. The matter was listed for clarification on 23.06.2023 as the Petitioner Companies failed to file the Schedule of Assets in the proper format. During the hearing on 05.07.2023, the Petitioner Companies stated that the Schedule of Assets had been filed in the proper format on 30.06.2023 and the same was taken on record.

11. Heard submissions and perused documents placed on record. Considering the approval accorded by the members and creditors of the Petitioner Company to the proposed Scheme, and satisfaction accorded by the respective regulatory authorities, in view of the Petitioner Company having filed undertaking to comply with the requirements raised by the respective regulators, we sanction the Scheme under Section 230-232 of the Companies Act, 2013 as annexed at annexure 'A'. The Petitioners shall, however, remain bound to comply with the statutory requirements in accordance with the respective laws.

12. Notwithstanding the above, if there is any deficiency found or, violation committed qua any enactment, statutory rule or regulation, the sanction granted by this Tribunal to the scheme will not come in the way of action being taken, albeit, in accordance with law, against the concerned persons, directors and officials of the Petitioners.

15. While approving the Scheme as above, we further clarify that this order should not be construed as an order in any manner granting exemption from payment of stamp duty, or taxes including income tax, GST etc., or any other charges or payment in accordance with law, or any kind of waiver in respect of any permission/compliance with any other requirement which may be specifically required under any law.

16. **The Scheme is sanctioned with following directions:**

i. The Scheme of Arrangement as annexed herewith as "Annexure-A" is hereby sanctioned and it is declared that the same shall be binding on the Petitioner Companies and their Shareholders and Creditors and all concerned under the Scheme.

ii. The Demerged undertaking shall, together with all its property, rights and powers be transferred without further act or deed to the Resulting Company and accordingly the same shall, pursuant to Section 232 of the Act, stand transferred to and vest in the Resulting Company for all the estate and interest of the Demerged Undertaking.

iii. All licenses, permissions, permits, approvals, certificates, clearances, authorities, leases, tenancy, assignments, rights, claims, liberties, special status, other benefits or privileges and any power of attorney relating to the Demerged Undertaking of the Demerged Company shall stand transferred to and vested in

the Resulting Company, without any further act or deed. The Resulting Company shall be bound by the terms thereof, the obligations and duties thereunder, and the rights and benefits under the same shall be available to the Resulting Company.

iv. After the scheme comes into effect, and in consideration of and subject to other provisions of this scheme, Resulting Company shall, without any further application, act, deed, consent, instruction, issue and allot 55,00,000/- fully paid up 8% non-cumulative non-convertible redeemable preference shares of INR 10 each of DPIPL pro rata to each shareholder of the Demerged Company whose name is recorded in the register of members of the Demerged Company on the Record Date.

v. All the liabilities and duties of the Demerged Undertaking of the Demerged Company be transferred, without further act or deed, to the Resulting Company and accordingly the same shall pursuant to Sections 230 & 232 of the Companies Act, 2013, be transferred to and become the liabilities and duties of the Resulting Company.

vi. All contracts, agreements, insurance policies, bonds and all other instruments of whatsoever nature or description, of the Demerged Undertaking of the Demerged Company, shall stand transferred to and vest in the Resulting Company and be in full force and effect

in favour of the Resulting Company and may be enforced by or against it as fully and effectually against the Resulting Company.

vii. All direct and indirect taxes or payable by the Demerged Undertaking of the Demerged Company including existing and future incentives, un-availed credits and exemptions, benefit of carried forward losses and other statutory benefits, shall be available to and vest in the Resulting Company. The tax liability of the Demerged Undertaking shall become liability of the Resulting Company and any proceedings against the Demerged Undertaking shall continue against the Resulting Company.

viii. All proceedings now pending by or against the Demerged Undertaking of the Demerged Company shall be continued by or against the Resulting Company.

ix. All employees in the service of the Demerged Undertaking of the Demerged Company shall be deemed to have become the employees and the staff of the Resulting Company on date on which the scheme finally takes effect on the basis that their services shall be deemed to have been continuous and not interrupted by reasons of the said transfer, and on term and conditions no less favourable than those on which they were / are engaged, as on the Effective Date.

x. The Petitioner Companies are further directed to file a certified copy of this order along with the copy of the Scheme (Annexure-A) with the concerned Registrar of Companies, as per relevant provisions of the Companies Act, 2013.

xi. The Petitioner Company is directed to lodge a copy of this Order and the approved Scheme duly authenticated by the Registrar of this Tribunal, with the concerned Superintendent of Stamps, for adjudication of stamp duty, and pay requisite stamp duty payable, if any, within 60 days from the date of this Order.

xii. The Income Tax Department will be free to examine the aspect of any tax payable as a result of the sanction of the Scheme and if it is found that the Scheme of Arrangement ultimately results in tax avoidance or is not in accordance with the applicable provisions of Income Tax Act, then the Income Tax Dept. shall be at liberty to initiate appropriate course of action as per law. Any sanction of the Scheme of Arrangement under Sections 230-232 of the Companies Act, 2013 shall not adversely affect the rights of Income Tax Department or any past, present or future proceedings and the sanction of the scheme shall not come in its way for the appropriate course of action as per law for the tax liabilities, if any.

xiii. Any person aggrieved shall be at liberty to apply to the Tribunal in the above matter for any direction that may be necessary.

xiv. Company Petition is allowed and disposed of, in terms of above order.

-SD-
AJAI DAS MEHROTRA
MEMBER (TECHNICAL)

-SD-
SHAMMI KHAN
MEMBER (JUDICIAL)

Swetambary-Steno
Abhishek-LRA

Annexure "A" Exhibit E

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SCHEME OF ARRANGEMENT

BETWEEN

PRIME HOLDINGS PRIVATE LIMITED
(DEMERGED COMPANY)

AND

DHOLKA PLYWOOD INDUSTRIES PRIVATE LIMITED
(RESULTING COMPANY)

AND

THEIR RESPECTIVE SHAREHOLDERS AND CREDITORS
UNDER SECTION 230 to 232 AND OTHER APPLICABLE PROVISIONS OF THE COMPANIES ACT, 2013

For PRIME HOLDINGS PVT. LTD.
Authorised Signatory

For DHOLKA PLYWOOD INDUSTRIES PVT. LTD.
Authorised Signatory

NOTARY GOVT. OF INDIA
KOLKATA
ASHOK KUMAR PAUL
REGN. NO. 21808

For PRIME HOLDINGS PVT. LTD.
Authorised Signatory

NATIONAL COMPANY LAW TRIBUNAL AHMEDABAD

For DHOLKA PLYWOOD INDUSTRIES PVT. LTD.
Authorised Signatory

PREAMBLE

This scheme of arrangement (*as defined hereinafter*) is presented under section 230 to 232 and other applicable provisions of the Companies, Act, 2013 for the Demerger of Finance Undertaking (*as defined hereinafter*) of Prime Holdings Private Limited and vesting of the same in Dholka Plywood Industries Private Limited (hereinafter referred to as the "Scheme")

PARTS OF THE SCHEME

This Scheme (*as defined hereinafter*) is divided into the following parts:

PART I	deals with Introduction, Definitions and Interpretation and other matters;
PART II	deals with the Capital Structure of Demerged Company and Resulting Company.
PART III	deals with the demerger of the Demerged Undertaking *(as defined hereinafter)* from PHPL and vesting of the same in DPIPL;
PART IV	deals with consideration, accounting and tax treatment of the Scheme and other matters.
PART V	deals with the general/residuary terms and conditions applicable to the Scheme *(as defined hereinafter)*.

For PRIME HOLDINGS PVT. LTD.

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For DHOLKA PLYWOOD INDUSTRIES PVT. LTD.

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For DHOLKA PLYWOOD INDUSTRIES PVT. LTD.

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INTRODUCTION, DEFINITIONS AND INTERPRETATION

1. INTRODUCTION

1.1 **Prime Holdings Private Limited ("Demerged Company" or "PHPL")** is a private Company incorporated on February 23, 1994, under the provisions of the Companies Act, 1956 and has its corporate identification number: U70101AS1994PTC004092 and its registered office at Makum Road, Tinsukia, Assam- 786125. It is holding investments in listed companies as a "Promoter Group" and is also carrying on Finance Business involving short term investments and provision of loans/deposits. The equity shares of PHPL are not listed on any Stock Exchange.

1.2 **Dholka Plywood Industries Pvt. Ltd. ("Resulting Company" or "DPIPL")** is a Company incorporated on March 13, 2000, under the provisions of the Companies Act, 1956 and has its corporate identification number: U20211GJ2000PTC037542 and its registered office at 206, Silver Oaks Building Nr. Mahalaxmi Cross Road, Paldi, Ahmedabad - 380007.The Company was incorporated for the purpose of manufacturing plywood / wood veneer. It is presently acting as a commission agent and intends to further diversify its business in the financial services sector. The equity shares of DPIPL are not listed on any Stock Exchange.

2. RATIONALE FOR THE SCHEME OFARRANGEMENT

The rationale of the Scheme of Arrangement is as under –

PHPL and DPIPL are owned and controlled by Mittal Family comprising of Shiv Prakash Mittal (SPM) and his family and Rajesh Mittal (RJM) and his family. The two groups of the Mittal Family have inter-se entered into a mutual understanding to segregate the joint holdings of the Family in the shares of Greenply Industries Limited (Greenply) [having CIN: L20211AS1990PLC003484] and Greenpanel Industries Limited (Greenpanel) [having CIN: L20100AS2017PLC018272] between the two groups such that holding of each group is independent of the other. The shareholders of both the Demerged Company and the Resulting Company, who are members of the Mittal Family, have also decided to separate the Finance Business Undertaking of PHPL (a company controlled by SPM Group) and transfer

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NATIONAL COMPANY LAW TRIBUNAL AHMEDABAD

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it to DPIPL (a company to be controlled by RJM Group) with the objective of diversification of business of DPIPL into financial services sector. PHPL shall continue with its activity of acting as a Promoter Group of the listed companies of the Mittal Group while the Finance Business Undertaking (comprising of lending and short-term investments) of PHPL shall be demerged and transferred to DPIPL.

3. DEFINITIONS

In this Scheme *(as defined hereinafter)*, unless repugnant to the meaning or context thereof, the following expressions shall have the meaning mentioned herein below:

3.1 **"Act"** means the Companies Act, 2013 and shall include any other statutory amendment or re-enactment or restatement and the rules and/ or regulations and/ or other guidelines or notifications under Applicable Laws, made thereunder from time to time;

3.2 **"Applicable Law"** means any applicable central, provincial, local or other law including all applicable provisions of all (a) constitutions, decrees, treaties, statutes, laws (including the common law), codes, notifications, rules, regulations, policies, guidelines, circulars, directions, directives, ordinances or orders of any Appropriate Authority, statutory authority, court, tribunal having jurisdiction over the Parties; (b) Permits; and (c) orders, decisions, injunctions, judgments, awards and decrees of or agreements with any Appropriate Authority having jurisdiction over the Parties and shall include, without limitation, the listing agreements executed with any of the Stock Exchanges by the Parties;

3.3 **"Appointed Date"** means April 1, 2021, or any other date as may be approved by the National Company Law Tribunal;

3.4 **"Appropriate Authority"** means any applicable central, state or local government, legislative body, regulatory, administrative or statutory authority, agency or commission or department or public or judicial body or authority, including but not limited to Securities and Exchange Board of India, Stock Exchanges, Foreign Investment Promotion Board, Registrar of Companies, Competition Commission of India, National Company Law Tribunal, Central Board of Direct Taxes, Central Board of Indirect Taxes and Custom, Reserve Bank of India and the High Courts;

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3.5 **"Board"** means the Board of Directors of the Demerged Company and the Resulting Company and shall include a committee of directors or any person authorized by the board of directors or such committee of directors duly constituted and authorized for the purposes of matters pertaining to the transfer and demerger, this Scheme or any other matter relating thereto;

3.6 **"Demerged Company"** or **"PHPL"** means Prime Holding Private Limited, a private limited company incorporated on February 23, 1994 under the provisions of the Companies Act, 1956 under the corporate identity number: U70101AS1994PTC004092 and having its registered office at Makum Road, Tinsukia Assam-786125;

3.7 **"Demerged Undertaking" or "Finance Business Undertaking"**

Demerged Undertaking or Finance Business Undertaking means the business of lending funds including short term investments in mutual funds and quoted securities other than shares held as a Promoter Group of Greenply Industries Limited and Greenpanel Industries Limited.

It is hereby clarified that the Demerged Undertaking shall comprise of all the assets and liabilities of the Demerged Company as on April 01, 2021, as also those acquired thereafter before the Effective Date, in the normal course of the business or otherwise but shall exclude the following assets, whether held by the Demerged Company as on April 01, 2021, or acquired thereafter:

i) Shares held as part of controlling interest, of Greenpanel Industries Limited, of Greenply Industries Limited and of other Mittal Group entities
ii) Immovable property and paintings

It is clarified that the consideration received by Demerged Company on sale of any of the assets and/or investments stated at Clause (i) and/or Clause (ii) above, unless reinvested in assets specified in Clause (i) and/or Clause (ii) above shall form part of the Finance Undertaking.

It is clarified that the question whether a specified asset or a liability pertains to the Finance Business Undertaking or arises out of activities and/or operations of Finance Business Undertaking shall be decided mutually by the Boards of the Demerged Company and the Resulting Company.

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3.8 **"Effective Date"** means the date on which the last of the approvals/conditions specified in Clause15 is obtained or has occurred or the requirement of which has been waived by the authority entitled to do so and the provisions of the Scheme (*as defined hereinafter*) are made effective with effect from the Appointed Date. References in this Scheme to the date of **"coming into effect of this Scheme"** or **"this Scheme becoming effective"** or **"effectiveness of this Scheme"** shall mean the Effective Date;

3.9 **"Encumbrance"** means (i) any charge, lien (statutory or other), or mortgage, any easement, encroachment, right of way, right of first refusal or other encumbrance or security interest securing any obligation of any Person; (ii) pre-emption right, option, right to acquire, right to set off or other third party right or claim of any kind, including any restriction on use, voting, selling, assigning, pledging, hypothecating, or creating a security interest in, place in trust (voting or otherwise), receipt of income or exercise; or (iii) any equity, assignments hypothecation, title retention, restriction, power of sale or other type of preferential arrangements; or (iv) any agreement to create any of the above; the term "Encumber" shall be construed accordingly;

3.10 **"INR"** means Indian Rupee, the lawful currency of the Republic of India;

3.11 **"IT Act"** means the Income-tax Act, 1961 and the rules, regulations, circulars and notifications issued, as amended, substituted or re-enacted any from time to time and to the extent in force;

3.12 **"Mittal Group Entities"** shall mean all the entities controlled and owned directly or indirectly by one or more members of the Mittal Family including, in particular, the following entities:

3.12.1 PHPL
3.12.2 DPIPL
3.12.3 Vanashree Properties Private Limited
3.12.4 Bluesky Holding Private Limited
3.12.5 Niranjan Intrastructure Private Limited
3.12.6 Mastermind Shoppers Private Limited
3.12.7 S.M. Management Private Limited
3.12.8 Brijbhumi Tradevin Private Limited
3.12.9 Brijbhumi Merchants Private Limited
3.12.10 Showan Investment Private Limited and/or

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3.12.11 subsidiaries, associates, holding company respectively of any of the entities mentioned above and any other company under the same management

3.13 **"Permits"** means all consents, licences, permits, permissions, authorisations, rights, clarifications, approvals, clearances, confirmations, declarations, waivers, exemptions, registrations, filings, whether governmental, statutory, regulatory under Applicable Law and includes approvals of Stock Exchanges, SEBI, depositories, and such other authority or body for carrying out activities of commodity broker, clearing member etc.;

3.14 **"Record Date"** means the date to be fixed by the Board of the Demerged Company in consultation with the Resulting Company for the purpose of determining the shareholders of the Demerged Company for issue of the equity shares, pursuant to this Scheme;

3.15 **"Remaining Assets"** shall mean all the assets belonging to PHPL and excluded from the definition of Finance Business Undertaking as set out in Sub-clause 3.7 of this Clause.

3.16 **"Resulting Company"** or **"DPIPL"** means Dholka Plywood Industries Private Limited, a private limited company incorporated on March 13, 2000, under the provisions of the Companies Act, 1956 under the corporate identity number: U20211GJ2000PTC037542 and having its registered office at 206, Silver Oaks Building Nr. Mahalaxmi Cross Road, Paldi, Ahmedabad - 380007;

3.17 **"RoC"** means the Registrar of Companies having jurisdiction over the Demerged Company and the Resulting Company, as the case may be;

3.18 **"Scheme" or "Scheme of Arrangement"** means this Scheme of Arrangement between the Demerged Company and the Resulting Company and their respective shareholders in its present form or with any modification(s) made under Clause 14 of this Scheme as approved by the Tribunal pursuant to the provisions of Section 230-232 of Act and/or other relevant provisions of the Act;

3.19 **"Tribunal"** or **"NCLT"** means the National Company Law Tribunal, Guwahati Bench and Ahmedabad Bench, as constituted under the provisions of 2013 Act;

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The expressions, which are used in this Scheme and not defined shall, unless repugnant or contrary to the context or meaning thereof, have the same meaning ascribed to them under the 2013 Act, the IT Act and other applicable laws, rules, regulations, bye-laws, guidelines, circulars, notifications, orders, as the case may be, including any statutory modification or re-enactment thereof, from time to time.

4. INTERPRETATION

In this Scheme, unless the context otherwise requires:

4.1 words denoting singular shall include plural and vice versa and references to any gender includes the other gender;

4.2 headings and bold typeface are only for convenience and shall be ignored for the purposes of interpretation;

4.3 References to the word "include" or "including" shall be construed without limitation;

4.4 References to Clauses are to the Clauses to this Scheme;

4.5 References to the words "hereof", "herein" and "hereunder" and words of similar import shall refer to this Scheme as a whole and not to any particular provision of this Scheme;

4.6 Reference to any law or legislation or regulation shall include amendment(s), circulars, notifications, clarifications or supplement(s) to, or replacement or amendment of, that law or legislation or regulation;

4.7 Reference to a document includes an amendment or supplement to, or replacement or novation of, that document;

4.8 Word(s) and expression(s) elsewhere defined in the Scheme will have the meaning(s) respectively ascribed to them;

4.9 References to a person include any individual, firm, body corporate (whether incorporated or not), government, state or agency of a state or any joint venture, association, partnership, works council or employee representatives' body (whether or not having separate legal personality); and

4.10 Where a wider construction is possible, the words "other" and "otherwise" shall not be construed ejusdem generis with any forgoing words.

5. DATE OF TAKING EFFECT AND OPERATIVE DATE

This Scheme set out herein in its present form or with any modification(s) and amendment(s) made under Clause 14 of this Scheme duly approved or imposed or directed by the Tribunal shall on coming into effect of this Scheme be effective from

For DHOLKA PLYWOOD INDUSTRIES PVT. LTD.

Authorised Signatory

For PRIME HOLDINGS PVT. LTD.

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For DHOLKA PLYWOOD INDUSTRIES PVT. LTD.

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For PRIME HOLDINGS PVT. LTD.

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the Appointed Date. Accordingly, for all regulatory and tax purposes the respective parts of the Scheme including in particular allotment of shares by the Resulting Company as part of consideration as provided in Clause 11.1, would be effective or deemed to be effective from the Appointed Date of this Scheme.

For PRIME HOLDINGS PVT. LTD.

Authorised Signatory

For DHOLKA PLYWOOD INDUSTRIES PVT. LTD.

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PART II

SHARE CAPITAL STRUCTURE

6. SHARE CAPITAL

6.1 Demerged Company(Prime Holding Private Limited)

The share capital structure of Demerged Company as on March 31, 2021, is as under:

Particulars	Amount in Rs.
Authorized share capital	
56,50,000Equity Shares of Rs. 10 each	5,65,00,000
TOTAL	**5,65,00,000**
Issued, subscribed and paid-up share capital	
30,12,100 Equity Shares of Rs. 10 each	3,01,21,000
TOTAL	**3,01,21,000**

Subsequent to March 31, 2021, there has been no change in the capital structure of Demerged Company.

6.2 Resulting Company (Dholka Plywood Industries Private Limited)

The share capital structure of the Resulting Company as on March 31, 2021, is as under:

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Particulars	Amount in Rs.
Authorized share capital	
9,00,000 Equity Shares of Rs. 10 each	90,00,000
1,00,000 Preference Shares of Rs. 10 each	10,00,000
TOTAL	**1,00,00,000**
Issued, subscribed and paid up share capital	
3,27,530 Equity Shares of Rs. 10 each	32,75,300
TOTAL	**32,75,300**

Subsequent to March 31, 2021 there is no change in the capital structure of the Resulting Company.

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PART III

DEMERGER OF THE DEMERGED UNDERTAKING OF PRIME HOLDINGS PRIVATE LIMITED (DEMERGED COMPANY) AND VESTING OF THE SAME IN DHOLKA PLYWOOD INDUSTRIES PRIVATE LIMITED (RESULTING COMPANY)

7. TRANSFER AND VESTING OF PROPERTIES, ASSETS AND LIABILITES

7.1 Upon the Scheme becoming effective and with effect from the Appointed Date, and subject to the provisions of this Scheme and pursuant to Sections 230 to 232 of the Act and Section 2(19AA) of the IT Act, the Demerged Undertaking along with all its assets and liabilities as also contracts, arrangements, employees, Permits, licences, records, approvals, etc., if any, shall, without any further act, instrument or deed, be demerged from Demerged Company and transferred to and be vested in or be deemed to have been vested in the Resulting Company as a going concern so as to become the assets, liabilities, contracts, arrangements, employees, Permits, licences, records, approvals, etc. of the Resulting Company by virtue of, and in the manner provided in this Scheme, on and from the Appointed Date.

7.2 In respect of such of the assets and properties forming part of the Demerged Undertaking as are movable in nature or are otherwise capable of transfer by delivery or possession, or by endorsement and/ or delivery, the same shall stand transferred by the Demerged Company upon coming into effect of this Scheme and shall, ipso facto and without any other order to this effect, become the assets and properties of the Resulting Company

7.3 With respect to the assets of the Demerged Undertaking, other than those referred to in Clause 7.2 above, including all rights, title and interests in the agreements, investments in shares, mutual funds, bonds and any other securities, sundry debtors, claims from customers or otherwise, outstanding loans and advances, if any, recoverable in cash or in kind or for value to be received, bank balances and deposits, if any, with Government, semi-Government, local and other authorities and bodies, customers and other persons, whether or not the same is held in the name of the Demerged Company, shall, without any further act, instrument or deed, be transferred to and vested in and/ or be deemed to be transferred to and vested in the Resulting Company, with effect from the Appointed Date by operation of law as transmission or as the case may be in favour of Resulting Company. With regard to

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the licenses of the properties, the Resulting Company will enter into novation agreements, if it is so required.

7.4 The Demerged Company shall, at its sole discretion but without being obliged, give notice in such form as it may deem fit and proper, to such Persons, as the case may be, that the said debt, receivable, bill, credit, loan, advance or deposit stands transferred to and vested in the Resulting Company and that appropriate modification should be made in their respective books/ records to reflect the aforesaid changes.

7.5 Upon effectiveness of the Scheme, all debts, liabilities, loans, obligations and duties of the Demerged Company as on the Appointed Date and relatable to the Demerged Undertaking ("Transferred Finance Undertaking Liabilities") shall, without any further act or deed, be and stand transferred to and be deemed to be transferred to the Resulting Company to the extent that they are outstanding as on the Appointed Date and the Resulting Company shall meet, discharge and satisfy the same. The term "Transferred Finance Undertaking Liabilities" shall include:

7.5.1 the debts, liabilities obligations incurred and duties of any kind, nature or description (including contingent liabilities) which arise out of the activities or operations of the Demerged Undertaking;

7.5.2 the specific loans or borrowings (including debentures bonds, notes and other debt securities raised, incurred and utilized solely for the activities or operations of the Demerged Undertaking); and

7.5.3 in cases other than those referred to in Clauses 7.5.1 or 7.5.2 above, so much of the amounts of general or multipurpose borrowings, if any, of the Demerged Company, as stand in the same proportion which the value of the assets transferred pursuant to the demerger of the Demerged Undertaking bear to the total value of the assets of the Demerged Company immediately prior to the Appointed Date.

However, it is clarified that the tax liabilities and tax demands or refunds received or to be received by the Demerged Company for a period prior upto the Appointed Date in relation to the Demerged Company shall not be transferred as part of the Demerged Undertaking to Resulting Company.

7.6 In so far as any Encumbrance in respect of Transferred Finance Undertaking Liabilities is concerned, such Encumbrance shall, without any further act, instrument or deed being required to be modified and, if so agreed, shall be extended to and shall operate over the assets of the Resulting Company. For the avoidance of doubt,

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it is hereby clarified that in so far as the assets comprising the Remaining Business are concerned, the Encumbrance, if any, over such assets relating to the Transferred Finance Business Undertaking Liabilities, without any further act, instrument or deed being required, be released and discharged from the obligations and Encumbrances relating to the same. Further, in so far as the assets comprised in the Demerged Undertaking are concerned, the Encumbrance over such assets relating to any loans, borrowings or other debts which are not transferred to the Resulting Company pursuant to this Scheme and which shall continue with the Demerged Company, shall without any further act or deed be released from such Encumbrance and shall no longer be available as security in relation to such liabilities.

7.7 Taxes, if any, paid or payable by the Demerged Company after the Appointed Date and specifically pertaining to Demerged Undertaking shall be treated as paid or payable by the Resulting Company and the Resulting Company shall be entitled to claim the credit, refund or adjustment for the same as may be applicable.

7.8 If the Demerged Company is entitled to any unutilized credits (including balances or advances), benefits under the incentive schemes and policies including tax holiday or concessions relating to the Demerged Undertaking under any Tax Laws or Applicable Laws, the Resulting Company shall be entitled as an integral part of the Scheme to claim such benefit or incentives or unutilised credits, as the case may be, without any specific approval or permission.

7.9 Upon the Scheme becoming effective, the Demerged Company and the Resulting Company shall have the right to revise their respective financial statements and returns along with prescribed forms, filings and annexures under the Tax Laws and to claim refunds and/or credit for Taxes paid and for matters incidental thereto, if required, to give effect to the provisions of the Scheme.

7.10 Subject to Clause 7 and any other provisions of the Scheme, with respect to any refunds, benefits, incentives, grants, subsidies in relation to or in connection with the Demerged Undertaking, the Demerged Company shall, if so required by the Resulting Company, issue notices in such form as the Resulting Company may deem fit and proper stating that pursuant to the Tribunal having sanctioned this Scheme, the relevant refund, benefit, incentive, grant, subsidies, be paid or made good or held on account of the Resulting Company, as the person entitled thereto, to the end and intent that the right of the Demerged Company to recover or realise the same, stands

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transferred to the Resulting Company and that appropriate entries should be passed in their respective books to record the aforesaid changes.

7.11 On and from the Effective Date and till such time that the name of the bank accounts of the Demerged Company, in relation to or in connection with the Demerged Undertaking, have been replaced with that of the Resulting Company, the Resulting Company shall be entitled to maintain and operate the bank accounts of the Demerged Company, in the name of the Demerged Company for such time as may be determined to be necessary by the Resulting Company. All cheques and other negotiable instruments, payment orders received or presented for encashment which are in the name of the Demerged Company, in relation to or in connection with the Finance Business Undertaking, after the Effective Date shall be accepted by the bankers of the Resulting Company and credited to the account of the Resulting Company, if presented by the Resulting Company.

7.12 Without prejudice to the provisions of the foregoing sub clauses of this Clause 7, and upon the effectiveness of this Scheme, the Demerged Company and the Resulting Company shall be entitled to apply to the Appropriate Authorities as are necessary under any law for such consents, approvals and sanctions which the Resulting Company may require and execute any and all instruments or documents and do all the acts and deeds as may be required, including filing of necessary particulars and/ or modification(s) of charge, with the concerned RoC or filing of necessary applications, notices, intimations or letters with any authority or Person to give effect to the Scheme.

Provided that the Demerged Company and the Resulting Company may by mutual agreement at any time after the Appointed Date, give effect to any or all of the provisions of this Clause 7.

8. CONTRACTS

8.1 Subject to the other provisions of this Scheme, all contracts, deeds, bonds, agreements, arrangements and other instruments in relation to the Demerged Undertaking, to which the Demerged Company is a party and which is subsisting or having effect on or immediately before the Appointed Date shall remain in full force and effect against or in favour of the Resulting Company and shall be binding on and be enforceable by and against the Resulting Company as fully and effectually

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as if the Resulting Company had at all material times been a party or beneficiary or obligee thereto. The Resulting Company will, if required, enter into a novation agreement in relation to such contracts, deeds, bonds, agreements, arrangements and other instruments as stated above and, if required, cause such contracts, deeds, bonds, agreements, arrangements and other instruments as stated above to be formally taken on record/ recognised by the Appropriate Authorities.

8.2 Without prejudice to the other provisions of this Scheme and notwithstanding the fact that vesting of the Demerged Undertaking occurs by virtue of this Scheme, the Resulting Company may, at any time after the coming into effect of this Scheme, in accordance with the provisions hereof, if so required under any Applicable Law or otherwise, take such actions and execute such deeds (including deeds of adherence), confirmations, other writings or tripartite arrangements with any party to any contract or arrangement to which the Demerged Company is a party or any writings as may be necessary in order to give effect to the provisions of this Scheme. With effect from the Appointed Date, the Resulting Company shall under the provisions of this Scheme, be deemed to be authorized to execute any such writings on behalf of the Demerged Company to carry out or perform all such formalities or compliances referred to above on the part of the Demerged Company.

8.3 On and from the Effective Date, and thereafter, the Resulting Company shall be entitled to enforce all pending contracts and transactions and to accept stock returns and issue credit notes in respect of the Demerged Company, in relation to or in connection with the Demerged Undertaking, in the name of the Resulting Company in so far as may be necessary until the transfer of rights and obligations of the Demerged Undertaking to the Resulting Company under this Scheme have been given effect to under such contracts and transactions.

9. LEGAL PROCEEDINGS

9.1 Any suit, petition, appeal or other proceeding of whatsoever nature and any orders of court, judicial or quasi-judicial tribunal or other governmental authorities enforceable by or against the Demerged Company including without limitation any restraining orders (including order under section 281B of the Income-tax Act, 1961) pending before any court, judicial or quasi-judicial tribunal or any other forum, relating to the Demerged Undertaking of the Demerged Company, whether by or against the Demerged Company, pending as on the Effective Date, shall not abate or be discontinued or in any way prejudicially affected by reason of the demerger of

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the Demerged Undertaking of the Demerged Company or of any order of or direction passed or issued in the demerger proceedings or anything contained in this Scheme, but by virtue of the order sanctioning the Scheme, such legal proceedings shall be continued and any prosecution shall be enforced by or against the Resulting Company in the same manner and to the same extent as would or might have been continued, prosecuted and/or enforced by or against the Demerged Company, as if this Scheme had not been implemented.

9.2 After the Appointed Date and until the Effective Date, the Demerged Company shall defend all legal proceedings, other than in the ordinary course of business, with the advice and instructions of the Resulting Company.

9.3 The transfer and vesting of the assets and liabilities of the Demerged Undertaking under the Scheme and the continuance of the proceedings by or against the Resulting Company shall not affect any transaction or proceeding already completed by the Demerged Company between the Appointed Date and the Effective Date to the end and intent that the Resulting Company accepts all acts, deeds and things done and executed by and/or on behalf of the Demerged Company as acts, deeds and things done and executed by and on behalf of the Resulting Company.

10. FILING/ AMENDMENT OF RETURNS, ETC.

10.1 The Resulting Company is expressly permitted to file/revise/reopen its financial statements (including their balance sheet and profit and loss statement) and income tax, wealth tax, excise duty, service tax, value added tax, minimum alternate tax, Goods and Service tax and other statutory returns, if any, consequent to the Scheme becoming effective, notwithstanding that the period for filing/ revising such statements/returns may have lapsed, in order to give full effect to the Scheme, without requiring/ seeking any additional consent or approval under any applicable laws/rules and regulations. The Resulting Company is expressly permitted to amend tax deduction at source and other statutory certificates and shall have the right to claim refunds, advance tax credits, minimum alternate tax, set offs and adjustments relating to its incomes/ transactions from the Appointed Date.

10.2 It is specifically declared that the taxes/ duties paid by the Demerged Company (in relation to Demerged Undertaking) shall be deemed to be the taxes/ duties paid by the Resulting Company, and the Resulting Company shall be entitled to claim credit for such taxes deducted/ paid against its tax/ duty liabilities notwithstanding that the

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certificates/ challans or other documents for payment of such taxes/duties are in the name of the Demerged Company.

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PART IV

CONSIDERATION AND ACCOUNTING TREATMENT AND OTHER MATTERS

11. CONSIDERATION

11.1 After effectiveness of the Scheme and in consideration of and subject to other provisions of this Scheme, Resulting Company shall, without any further application, act, deed, consent, instrument, issue and allot 55,00,000 *fully paid up 8% non-cumulative non-convertible redeemable preference shares of INR 10 each of DPIPL pro rata to each shareholder of the Demerged Company whose name is recorded in the register of members of the Demerged Company on the Record Date.*

11.2 The Demerged Company and the Resulting Company are part of the Mittal Family. The demerger is proposed in pursuance of a mutual understanding arrived at between the members of the Family who are the shareholders of both the Demerged Company and the Resulting Company. The consideration, in form of preference shares of Resulting Company, to be issued to the shareholders of the Demerged Company has been determined in this light and is fair and is not detrimental/beneficial to all/any shareholder of the Demerged Company and/or Resulting Company and the same is in accordance with the valuation report issued by a valuer registered under the Companies Act.

11.3 The shares issued by DPIPL as provided in Clause 11.1 above shall constitute consideration given by DPIPL to the shareholders of the Demerged Company for acquiring the Finance Business Undertaking and shall not be deemed or considered to be allotted to the Demerged Company and/or deemed or considered to be distributed by the Demerged Company to its shareholders.

11.4 In case any shareholder's shareholding in the Demerged Company is such that such shareholder becomes entitled to a fraction of a preference share of Resulting Company, as the case may be, Resulting Company shall not issue fractional share certificate and such fraction shall be ignored.

11.5 The issue and allotment of preference shares as provided in Clause 11.1, is an integral part hereof and shall be deemed to have been carried out under the orders passed by the Tribunal without requiring any further act on the part of Resulting Company or Demerged Company or their shareholders and as if the procedure laid

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down under the Act and such other Applicable Laws as may be applicable were duly complied with. It is clarified that the approval of the members and creditors of the Resulting Company and/ or the Demerged Company to this Scheme, shall be deemed to be their consent/ approval for the issue and allotment of preference shares, as the case may be, pursuant to this Clause 11.5.

12. ACCOUNTING TREATMENT

12.1 Upon coming into effect of this Scheme, the Demerger of the Finance Business Undertaking of the Demerged Company with the Resulting Company shall be accounted for in the books of Demerged Company and Resulting Company in accordance with the applicable accounting standard prescribed under Section 133 of the Act and as per generally accepted accounting principles. In particular and without prejudice to the generality of the foregoing, the De-merged Company and the Resulting Company will account for the de-merger as follows.

12.2 Accounting treatment in the books of the Demerged Company:

12.2.1 The Demerged Company shall, upon the Scheme becoming effective, reduce the assets and liabilities of the Finance Business Undertaking vested in the Resulting Company pursuant to this Scheme at their respective book values as appearing on the Effective Date; and

12.2.2 The difference being the excess of the book value of assets over the book value of the liabilities pertaining to the Finance Business Undertaking and demerged from the Demerged Company pursuant to this Scheme after giving effect to Clause 12.2.1 shall be adjusted against the Reserves & Surplus of the Demerged Company.

12.3 Accounting treatment in the books of the Resulting Company:

12.3.1 Upon the coming into effect of this Scheme, the Resulting Company shall record the assets and liabilities of the Finance Business Undertaking at their respective book values, as on the Appointed Date in the books of the Demerged Company;

12.3.2 The Resulting Company shall credit to its share capital account, the aggregate face value of the Preference Shares issued by it pursuant to Clause 11.1 of this Scheme;

12.3.3 Inter-company balances and transaction between the Resulting Company and the Finance Business Undertaking of the Demerged Company, if any, will stand cancelled;

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12.3.4 The difference, if any, of value of assets over the value of liabilities, free reserves and balance in profit and loss account acquired as part of the Finance Business Undertaking and after considering effect of Clause 12.3.2 and Clause 12.3.3 shall be adjusted / credited to Capital Reserve by the Resulting Company.

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PART V

GENERAL/RESIDUARY TERMS AND CONDITIONS

13. APPLICATION TO THE TRIBUNAL.

13.1 The Demerged Company and the Resulting Company shall dispatch, make and file all applications and petitions under Sections 230 to 232 and other applicable provisions of the Act before the Tribunal for sanction of this Scheme under the provisions of Applicable Law, and shall apply for such approvals as may be required under Applicable Law.

13.2 The Demerged Company and the Resulting Company shall be entitled, pending the sanction of the Scheme, to apply to any Appropriate Authority, if required, under any Applicable Law for such consents and approvals which the Demerged Company and the Resulting Company may require to own the assets and/ or liabilities of the Demerged Undertaking, and to carry on the business of the Demerged Undertaking.

14. MODIFICATIONS/AMENDMENTS TO THE SCHEME

14.1 On behalf of the Demerged Company and the Resulting Company, the Board of the respective Companies acting themselves or through authorized persons, may consent jointly but not individually, on behalf of all persons concerned, to any modifications or amendments of this Scheme at any time and for any reason whatsoever, or to any conditions or limitations that the Tribunal or any other Appropriate Authority may deem fit to direct or impose or which may otherwise be considered necessary, desirable or appropriate by all of them (i.e. the Boards of the Demerged Company and the Resulting Company) and solve all difficulties that may arise for carrying out this Scheme and do all acts, deeds and things necessary for putting this Scheme into effect.

14.2 For the purpose of giving effect to this Scheme or to any modification thereof the Boards of the Demerged Company and the Resulting Company acting themselves or through authorized persons may jointly but not individually, give and are jointly authorised to give such directions including directions for settling any question of doubt or difficulty that may arise and such determination or directions, as the case may be, shall be binding on all parties, in the same manner as if the same were specifically incorporated in this Scheme. It is clarified that individual companies

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acting themselves or through authorized persons may individually approach the Tribunal or any other Appropriate Authority to seek clarifications for implementation of the Scheme.

14.3 It is clarified that if any modifications are required post the Scheme having been made effective, the Appointed Date shall not be affected by any such modifications that might be required to be made and the Appointed Date for such modified Scheme shall be same as the date on which Scheme was made effective prior to the modifications.

15. CONDITIONALITY OF THE SCHEME

15.1 This Scheme is and shall be conditional upon and subject to:

15.1.1 approval of the Scheme by the requisite majority of shareholders and creditors of the Demerged Company and the Resulting Company and such other classes of persons of the said Companies, if any, as applicable or as may be required under the Act and as may be directed by the Tribunal;

15.1.2 approval and effectiveness of any scheme of merger proposed after the Appointed Date for merger of any company, being a Mittal Group Entity, into PHPL

15.1.3 The sanction of this Scheme by the Tribunal under Section 230- 232 of the 2013 Act and/or other applicable provisions of the Act in favor of the Demerged Company and the Resulting Company.

15.1.4 The authenticated certified copies of the order of the Tribunal sanctioning this Scheme being filed with the ROC;

15.1.5 The requisite consent, approval or permission, if required of any other statutory or regulatory authority, which by law may be necessary for transfer of the Finance Business Undertaking of the Demerged Company;

15.1.6 All other sanctions and orders as are legally necessary or required in respect of this Scheme being obtained;

15.1.7 DPIPL having increased its authorised capital so as to permit issuance and allotment of shares specified as consideration in Clause 11.1 of this Scheme.

15.2 It is hereby clarified that submission of this Scheme to the Tribunal and to the Appropriate Authorities for their respective approvals is without prejudice to all

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rights, interests, titles or defences that the Demerged Company and the Resulting Company may have under or pursuant to all Applicable Laws.

15.3 On the approval of this Scheme by the shareholders of the Demerged Company and the Resulting Company and such other classes of Persons of the said Companies, if any, pursuant to Clause 15.1.1, such shareholders and classes of Persons shall also be deemed to have resolved and accorded all relevant consents under the Act or otherwise to the same extent applicable in relation to the demerger set out in this Scheme, related matters and this Scheme itself.

16. EFFECT OF NON-RECEIPT OF APPROVALS

16.1 The Demerged Company and the Resulting Company acting through their respective Boards shall each be at liberty to withdraw from this Scheme: (a) in case any condition or alteration imposed by any Appropriate Authority is unacceptable to any of them; or (b) they are of the view that coming into effect of the respective parts to this Scheme could have adverse implications on the respective companies.

16.2 If this Scheme is not effective within such period as may be mutually agreed upon between the Demerged Company and the Resulting Company through their respective Boards or their authorised representative, this Scheme shall become null and void and each Party shall bear and pay its respective costs, charges and expenses for and/ or in connection with this Scheme.

16.3 In the event of revocation/ withdrawal under Clause 16.1, no rights and liabilities whatsoever shall accrue to or be incurred inter se the Demerged Company and the Resulting Company or their respective shareholders or creditors or employees or any other Person, save and except in respect of any act or deed done prior thereto as is contemplated hereunder or as to any right, liability or obligation which has arisen or accrued pursuant thereto and which shall be governed and be preserved or worked out as is specifically provided in the Scheme or in accordance with the Applicable Law and in such case, each Party shall bear its own costs, unless otherwise mutually agreed. In particular and without prejudice to the generality of the foregoing, the Demerged Company and the Resulting Company will reverse any steps taken by them in implementation of Clause 7 of this Scheme.

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17. CONDUCT OF BUSINESS UNTIL THE EFFECTIVE DATE

17.1 Subject to the steps, if any, taken under the proviso to Clause 7 of this Scheme, with effect from the date of approval of the Scheme by the Board of the Demerged Company and the Resulting Company and up to and including the Effective Date:

17.1.1 The Demerged Company with respect to the Demerged Undertakings shall carry on their business with reasonable diligence and business prudence and in the same manner as it had been doing hitherto, and shall not undertake any additional financial commitments of any nature whatsoever, borrow any amounts or incur any other liabilities or expenditure, issue any additional guarantees, indemnities, letters of comfort or commitment either for themselves or on behalf of its respective affiliates or associates or any third party, or sell, transfer, alienate, charge, mortgage or encumber or deal in any of its properties/assets, except:

(a) when the same is expressly provided in this Scheme; or

(b) when the same is in the ordinary course of business as carried on, as on the date of filing of this Scheme in the Tribunal; or

(c) when written consent of the Resulting Company has been obtained in this regard.

17.1.2 The Demerged Company with respect to Demerged Undertaking shall not alter or substantially expand its business, or undertake (i) any material decision in relation to its business and affairs and operations other than that in the ordinary course of business; (ii) any agreement or transaction (other than an agreement or transaction in the ordinary course of business); and (iii) any new business, or discontinue any existing business or change the capacity of facilities other than that in the ordinary course of business, except with the written concurrence of the Resulting Company;

17.1.3 The Demerged Company with respect to Demerged Undertaking shall not vary the terms and conditions of employment of any of its employees, except in the ordinary course of business or pursuant to any pre-existing obligation undertaken except with the written concurrence of the Resulting Company;

17.1.4 The Demerged Company shall not amend its Memorandum of Association or Articles of Association, except with the written concurrence of the Resulting Company, unless required to be done pursuant to actions between the Appointed Date and Effective Date expressly permitted under this Scheme; and

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17.1.5 The Resulting Company shall be entitled, pending the sanction of the Scheme, to apply to the Appropriate Authorities concerned as are necessary under any law for such consents, approvals and sanctions which the Resulting Company may require to carry on the business of the Demerged Company and to give effect to the Scheme.

17.2 For the purpose of giving effect to the order passed under Sections 230 to 232 and other applicable provisions of the Act in respect of this Scheme by the Tribunal, the Resulting Company shall, at any time pursuant to the orders approving this Scheme, be entitled to get the recordal of the change in the legal right(s) upon the demerger of the Demerged Undertaking, in accordance with the provisions of Sections 230 to 232 of the Act. The Resulting Company shall always be deemed to have been authorized to execute any pleadings, applications, forms, etc., as may be required to remove any difficulties and facilitate and carry out any formalities or compliances as are necessary for the implementation of this Scheme. For the purpose of giving effect to the vesting order passed under Section 232 of the Act in respect of this Scheme, the Resulting Company shall be entitled to exercise all rights and privileges, and be liable to pay all taxes and charges and fulfil all its obligations, in relation to or applicable to all immovable properties, including mutation and/ or substitution of the ownership or the title to, or interest in the immovable properties which shall be made and duly recorded by the Appropriate Authority(ies) in favour of the Resulting Company as the case may be pursuant to the sanction of the Scheme by the Tribunal and upon the effectiveness of this Scheme in accordance with the terms hereof, without any further act or deed to be done or executed by the Resulting Company as the case may be. It is clarified that the Resulting Company shall be entitled to engage in such correspondence and make such representations, as may be necessary, for the purposes of the aforesaid mutation and/ or substitution.

18. SAVING OF CONCLUDED TRANSACTIONS

The vesting of the undertaking of the Demerged Company as above and the continuance of proceedings by or against the Demerged Company shall not affect any transaction or proceedings already concluded on or after the Appointed Date till the Effective Date in accordance with this Scheme, to the end and intent that the Resulting Company accepts and adopts all acts, deeds and things done and executed by the Demerged Company in respect thereto as done and executed on behalf of the Resulting Company.

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19. PROPERTY IN TRUST

Notwithstanding anything contained in this Scheme, until any property, asset, license, approval, permission, contract, agreement and rights and benefits arising therefrom and pertaining to the Demerged Undertaking are transferred, vested, recorded, effected and/ or perfected, in the records of the Appropriate Authority(ies), regulatory bodies or otherwise, in favour of the Resulting Company, the Resulting Company shall be deemed to be authorized to enjoy the property, asset or the rights and benefits arising from the license, approval, permission, contract or agreement as if it were the owner of the property or asset or as if it were the original party to the license, approval, permission, contract or agreement. It is clarified that till entry is made in the records of the Appropriate Authority(ies) and till such time as may be mutually agreed by the Demerged Company and the Resulting Company, the respective Party will continue to hold the property and / or the asset, license, permission, approval as the case may be in trust on behalf of the Resulting Company.

20. COSTS, CHARGES AND EXPENSES

On sanction and approval of the Scheme by Tribunal, all costs, charges, taxes including duties, levies and all other expenses, of the Demerged Company and the Resulting Company arising out of or incurred in connection with carrying out and implementing this Scheme and matters incidental thereto shall be borne by both the Demerged Company and Resulting Company in equal ratio.

21. COMPLIANCE WITH LAWS

21.1 This Scheme is presented and drawn up to comply with the provisions / requirements of sections 230 to 232 of the Companies Act, 2013 for the purpose of demerger of Demerged Company with the Resulting Company.

21.2 This Scheme has been drawn up to comply with the conditions relating to "Demerger" as specified under the tax laws, including section 2(19AA) and other relevant sections of the Income-tax Act, 1961. If any terms or provisions of the Scheme are found to be or interpreted to be inconsistent with any of the said provisions at a later date, whether as a result of any amendment of law or any judicial or executive interpretation or for any other reason whatsoever, the aforesaid provisions of the Income-tax Act, 1961 shall prevail. The Scheme shall then stand modified to the extent determined necessary to comply with the said provisions.

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Such modification will however not affect other clauses of the Scheme. The power to make such amendments as may become necessary shall vest with the Board of the Demerged Company and the Resulting Company, which power shall be exercised reasonably in the best interests of the companies concerned and their stakeholders

21.3 Upon the Scheme becoming effective, the Resulting Company is expressly permitted to revise its financial statements if required.

22. MISCELLANEOUS

22.1 If any part of this Scheme hereof is invalid, ruled illegal by any NCLT of competent jurisdiction, or unenforceable under present or future laws, then it is the intention of the Demerged Company and the Resulting Company that such Part shall be severable from the remainder of the Scheme, and the Scheme shall not be affected thereby, unless the deletion of such Part shall cause this Scheme to become materially adverse to Demerged Company and/or Resulting Company, in which case the Demerged Company and the Resulting Company shall attempt to bring about a modification in the Scheme, as will best preserve for the Demerged Company and Resulting Company the benefits and obligations of the Scheme, including but not limited to such Part.

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NOTARY GOVT. OF INDIA KOLKATA

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Annexure "B"

Schedule
First Part

(Insert a short description of the freehold property of the transferor company) -
Not Applicable

Second Part
(Insert a short description of the leasehold property of the transferor company)-
Not Applicable

Third Part
(Insert a short description of all stocks, shares, debentures and other charges in action of the transferor company)

No charges are created on the assets of the **Demerged Undertaking**.

The details of assets of the Demerged Undertaking (as on appointed date) to be transferred to the Resulting Company along with values as below :

Particulars	Amount (in Rs.)
Loans Granted to Plylam Enterprises Pvt Ltd	3,60,00,000.00
Interest on Loan outstanding	3,40,200.00
Receivable from Kotak India Real Estate Fund V	72,429.00
ABSL Dynamic Bond Fund – Retail - Growth – Regular Plan	51,22,015.00
Tata Hybrid Equity Fund Regular Plan - Growth	33,18,360.00
HDFC Low Duration Fund - RP - Growth	48,96,523.00
HDFC Ultra Short-Term Fund	50,73,862.60
Bank Balances	4,36,940.00
Cash in Hand	55,998.00
Total Fair Value	**553,16,327.60**

Dated .....
(By the Tribunal)

Registrar

* Where the Tribunal directs that the transferor company should be dissolved from any other date, the clause should be altered accordingly.

NATIONAL COMPANY LAW TRIBUNAL AHMEDABAD

S Agrawal